Tesla, Inc.

TSLA NASDAQ

Hold	$374.48 ▲ 1.74%	12M Price Target	52-Week Range	Market Cap
		$420.00	$297.38 – $498.83	$1.48T

TSLA: Bouncing Back as EV Credit Fight Looms in DC

WHAT HAPPENED

- Stock up 1.7% today to $374 on light volume (~20M shares vs the 30-60M we saw last week) — that's a bounce, not a breakout. The lighter volume tells me this is mostly short-covering and dip-buyers nibbling after last Friday's ugly 2% drop on 62M shares (that was institutions dumping).
- Options desk is leaning bullish — put/call ratio of 0.63 means for every 100 bullish bets there are only 63 bearish ones, and we're seeing unusually big call buying at the $372.50 and $375 strikes expiring this week. Traders are betting on a short-term pop, likely into earnings/Robotaxi news.

WHY IT MATTERS

Here's the real story: TSLA is stuck in the middle of its 52-week range (38%) and the market can't decide if this is an AI company or a car company that's losing share to BYD. The bounce today is noise — the real question is whether the EV tax credit situation gets resolved. Trump's "One Big Beautiful Bill" killed the $7,500 federal EV credit back in September 2025, and we're now seeing the full-year impact on demand — Q3 deliveries were propped up by pre-expiration pull-forward buying, and Q4 is where the hangover shows up. The bullish options flow suggests traders think Musk will drop a Robotaxi/Optimus catalyst to distract from the auto weakness, which is probably the right read.

POLICY & POLITICAL WATCH

Three policy threads matter right now: (1) The expired EV tax credit is a direct headwind — Tesla's cheaper models lose their biggest sales lever, and there's zero appetite in the current Congress to bring it back. (2) Tariffs on Chinese battery materials and components are a double-edged sword — they hurt Tesla's input costs but hurt BYD worse, protecting Tesla's US market share. (3) The NHTSA's ongoing investigation into Full Self-Driving and the federal framework for autonomous vehicles is THE swing factor — if the administration pushes a national AV standard that preempts state-by-state rules (California is especially hostile), Robotaxi scales nationally and the stock re-rates higher. Watch for any DOT announcements in the next 60 days.

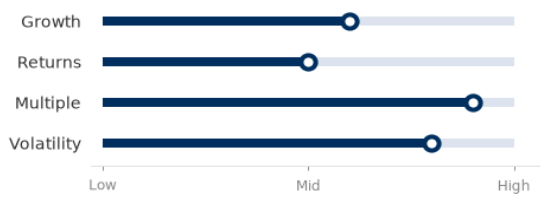
IS IT EXPENSIVE?

At $1.48T market cap and a forward P/E around 150x, investors are paying $150 for every $1 of next year's earnings — that's roughly 20x more expensive than Ford or GM, and even 5x more than Nvidia. The only way that math works is if you believe Robotaxi and Optimus (humanoid robot) become real businesses, not science projects. The auto business alone is probably worth $150-200/share — everything above that is a bet on Musk's AI vision actually shipping.

Key Data

Price (USD)	**$374.48**
12M Price Target	**$420.00**
Upside / (Downside)	**+12.2%**
Market Cap	**$1.48T**
FY2026E Revenue	**$112M**
FY2027E Revenue	**$135M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.60**
Fwd P/E	**152.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

TSLA — Tesla, Inc. | October 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$410.00**	$380.00	**$345.00**
6 Months	**$475.00**	$400.00	**$310.00**
1 Year	**$525.00**	$420.00	**$280.00**
2 Years	**$650.00**	$450.00	**$240.00**
5 Years	**$900.00**	$550.00	**$200.00**
10 Years	**$1400.00**	$750.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.2% today, +5.8% this week) is on fire — likely rate-cut beneficiary and defensive rotation. Real Estate and Utilities also catching bids, which screams "money is pricing in more Fed cuts."

COOLING OFF: The fact that Consumer Discretionary (where TSLA lives) is only up 0.77% while defensives rip tells you the market isn't buying the consumer story — people are getting defensive, not aggressive.

ROTATION WATCH: Money is flowing toward rate-sensitive sectors (Healthcare, REITs, Utilities), not growth/cyclicals. That's a yellow flag for TSLA — if we were in a true risk-on tape, Tesla should be up 3-4% on a day like today, not 1.7%.

RELATED PLAY: If you believe the AV/Robotaxi thesis, the real second-order winners are the chip and sensor suppliers — NVDA for compute, MBLY (Mobileye) if you want pure-play AV, and even Uber (UBER) which has partnered with multiple robotaxi players.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the cleanest AI infrastructure play — benefits from Tesla's Dojo spending either way.
- GM (General Motors): Quietly beating on EVs with no AI premium baked in — trades at 5x earnings vs Tesla's 150x.

TSLA CONTEXT: Tesla is lagging the broader AI trade and lagging legacy auto on fundamentals — it's in no-man's land. That tells me the stock needs a Musk catalyst (Robotaxi city expansion, Optimus demo, pay package resolution) to break out. Without it, we chop between $340-390.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $340-355 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls, auto gross margin drops below 15%, or Musk departs

Hedging: Pair with a legacy auto short (F or GM) or buy protective puts around earnings

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.